SAN RAFAEL
THE CITY WITH A MISSION

Agenda Item No: 3.a

Meeting Date: July 20, 2026

SAN RAFAEL CITY COUNCIL AGENDA REPORT

Department: City Manager's Office

Prepared by:
Paul Navazio, Interim City Manager

City Manager Approval: _____

TOPIC: **NOVEMBER 2026 BALLOT MEASURE: REVENUE ENHANCEMENT - REAL PROPERTY TRANSFER TAX RATE**

SUBJECT: **RESOLUTION CALLING FOR A GENERAL MUNICIPAL ELECTION ON NOVEMBER 3, 2026, FOR THE PURPOSE OF SUBMITTING TO THE QUALIFIED ELECTORS OF THE CITY A MEASURE TO MODIFY CHAPTER 3.22 OF THE SAN RAFAEL MUNICIPAL CODE TO INCREASE THE REAL PROPERTY TRANSFER TAX RATE AND ADD AN OVERSIGHT PROVISION; AUTHORIZING AND REQUESTING THAT THE COUNTY OF MARIN CONSOLIDATE AND CONDUCT THE ELECTION; DIRECTING THE CITY ATTORNEY TO PREPARE AN IMPARTIAL ANALYSIS AND AUTHORIZING MAYOR KATE AND COUNCILMEMBER BUSHEY TO FILE A BALLOT ARGUMENT AND REBUTTAL FOR THE MEASURE**

RECOMMENDATION:

Staff recommend that the City Council adopt a Resolution calling for a General Municipal Election on November 3, 2026, for the purpose of submitting to the qualified electors of the City a measure to modify Chapter 3.22 of the San Rafael Municipal Code to increase the real property transfer tax rate and add an oversight provision; Authorizing and requesting that the County of Marin consolidate and conduct the election; Directing the City Attorney to prepare an impartial analysis and authorizing Mayor Kate and Councilmember Bushey to file a ballot argument and rebuttal for the measure.

BACKGROUND:

The City of San Rafael, like many other jurisdictions in California, faces a challenging fiscal environment as costs to support baseline programs and services generally outpace overall revenue growth. Moreover, the City lacks sufficient funding to address significant deferred maintenance and infrastructure replacement needs. While the newly adopted Fiscal Year (FY) 2026-27 General Fund budget required several balancing measures to address a baseline deficit of $1.0 million, the City's General Fund forecast continues to project modest deficits through FY 2029-30, with the deficit estimated to grow to $2.0-$3.0 million.

As presented at the July 15, 2026, City Council meeting, the FY 2026-27 budget provides for a balanced, prudent spending plan in support of baseline programs and services, priority projects and initiatives as

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FOR CITY CLERK ONLY

Council Meeting: _____

Disposition: _____

well as investments in capital infrastructure. However, many areas remain where the City lacks sufficient funding to meet community demands and long-term infrastructure needs.

The most significant funding deficiencies remain in the area of deferred maintenance and capital replacement of city assets, including streets and roads, sidewalks, storm drain infrastructure, parks and city facilities. In short, the City lacks sufficient and reliable funding to support investments in maintenance and replacement of capital infrastructure and thus relies largely on one-time, outside funding sources (i.e., grants), where available. In addition, increased service-level demands, particularly in the area of public safety, continue to place additional pressures on existing resources, resulting in a gradual deterioration of service levels and increased response times. These structural funding deficiencies are further compounded by cost pressures driven by post-pandemic inflation, increased fuel, energy, and utility costs, buoyed by ongoing uncertainty in the general economy.

At the February 2, 2026 City Council Meeting, staff presented the City Council with a Fiscal Sustainability Framework outlining both near-term operational adjustments and longer-term revenue strategies to address these structural challenges. As part of that framework, staff identified November 2026 as an opportunity to seek a potential revenue enhancement measure, via either a discretionary general purpose tax or, alternatively, a dedicated special tax to generate additional funding to support the City's identified unmet priority needs:

The following table, presented to the City Council in conjunction with the adoption of the FY 2026-27 final budget. summarizes some of the areas of structural funding deficiencies:

UNFUNDED NEEDS	Annual Estimates	Notes
Baseline Funding Gaps		
Utilities	(incl. in FY26-27 Budget)	
Equipment Replacement (Fleet/Police/Fire)	$500,000 - $750,000 / year	Annual funding shortfall - replacement of assets
Liabilities / Outside Legal Services	$250,000 - $750,000 / year	
Infrastructure		
Street/Roads - Pavement Program	$2,000,000 / year	Needed to maintain PCI level
Sidewalks	$200,000 / year	
Storm Drain Infrastructure	$750,000 - $1,000,000 / year	Storm Drain Master Plan (Operations and Capital)
Parks - Capital Replacement	$1,000,000 / year	Parks Master Plan - Maintenance and Replacement > $10,000,000 funding gap (over 10 years)
Public Safety		
SAFE Team / Homelessness (Alternative Response)	$750,000 / year	Grant-funded through FY 2026-27
Staffing-	$1,500,000 - $2,000,000 / year	Emergency Medical Response / Traffic Enforcement
Community & Economic Development		
Planning/Code Enforcement/Economic Development	$200,000 - $350,000	
Deferred Mainteance		
Building / Facilities	> $1,000,000 / year	incl. HVAC systems, elevators, roof repair, upgrades

Public Safety:

SAFE Team. In the wake of the successful pilot of the Specialized Assistance for Everyone (SAFE) Team as an alternate response to frontline public safety personnel, staff recognizes that this resource is better trained, suited, and equipped to navigate and deliver services related to mental health, substance abuse, and unsheltered and housing services available to individuals in need. Despite the success of this alternative response, the City does not have an ongoing source of funding to support the SAFE Team.

The SAFE Team responds to more than 3,000 calls for service (CFS) involving community members in crisis related to mental health, substance abuse, or homelessness. Combined, these represent roughly 8% of all calls for service the Police Department responds to annually. Operationally, these types of calls for service are repetitive and generally require two police officers and, in many cases, Fire Department or medical support services for an extended period. With the utilization of the SAFE Team, such calls result in a peaceful resolution with the transport of or placement option for the individual.

As demonstrated, the SAFE Team has the capability to deal with a wide range of mental health-related crises, including conflict resolution, welfare checks, substance abuse, and potential suicide threats. Relying on trauma-informed de-escalation and harm reduction techniques, Alternative Response Teams are designed to respond to the following:

- Individuals who are intoxicated or under the influence of controlled substances.
- Transports for mental health services.
- Counseling, support, and intervention for depressed or suicidal individuals.
- Assisting the public with emergency shelter resources.
- Transportation to detox services for intoxicated people.
- Welfare checks (when no crime is suspected).
- Reports of intoxicated subjects in public places.
- Reports of disoriented subjects.
- Non-emergency medical evaluations.
- Transports for non-emergency medical care.

Staff, the City Council, as well as neighborhood groups and community members, have called for an increase to their hours of operation, which are currently only from 8:00 am to 8:00 pm daily. SAFE Team services would be greatly enhanced with extended coverage earlier in the morning and later into the evening as calls for service demand.

Community Services Officers. As the Police Department seeks to leverage Differential Police Response (DPR) strategies, categorizing service calls to match the urgency of the situation with the most appropriate response provides for more effective delivery of public safety services, decreased emergency response times, and more available time for sworn officers in the field.

Utilization of civilian service officers or Community Service Officers (CSOs) allows properly trained, non-sworn resources to facilitate non-emergency calls for service. Such calls typically include traffic control, minor accident investigations, investigation of minor criminal offenses with no suspect information, as well as other service calls not requiring a sworn police officer. Deploying Community Service Officers for such calls for service allows other sworn personnel to remain available for more urgent calls for service with a reduced response time. Non-sworn Community Service Officers, to enhance police department operations, would provide more optimal resource coordination, improved service delivery, and increased community satisfaction.

The San Rafael Police Department currently employs two Community Service Officers in administrative support functions. Additional CSO staffing would more effectively position the department in the ongoing management of calls for service and public safety service delivery.

Emergency Medical Service (EMS) Delivery. The San Rafael Fire Department has long been committed to providing exceptional emergency medical and fire protection services to the community. Today, nearly 80 percent of the Department's emergency responses are medical in nature, reflecting a significant shift

in service demands over the past several decades. While the Department continues to provide a high level of care to residents and visitors, the current emergency response system is operating under increasing strain. Despite increased call volume, higher-density residential development, and the expansion of senior housing and assisted living facilities, the Department has not added permanent front-line emergency response resources in decades.

To better understand the long-term sustainability of the City's EMS delivery system, the San Rafael Fire Department commissioned an independent operational assessment. The study concluded that the Department's current deployment model is increasingly challenged by steadily rising demand for ambulance transport services and will continue to face additional pressure as the community grows.

The study found that the Department's current deployment of two dedicated paramedic ambulances is insufficient to consistently meet industry-recognized response time objectives. Increasingly, both ambulances are committed to simultaneous incidents, requiring the activation of backup ambulances staffed by engine company personnel. While this cross-staffing model ensures that ambulance service remains available, it removes fire engines from service, reducing the Department's ability to respond to structure fires, rescues, and other emergencies requiring a full firefighting response.

The independent analysis identified several critical findings, including:

- Approximately 33.8 percent of the time that one incident is active, a second incident is occurring simultaneously, frequently requiring both primary ambulances to be committed.
- During peak daytime hours, ambulance and engine utilization rates approach levels that reduce system reliability and operational resilience.
- Two dedicated ambulances cannot consistently provide citywide ambulance coverage within recommended response time standards.
- The frequent use of cross-staffed backup ambulances significantly reduces firefighting coverage throughout the City by placing engine companies out of service while transporting patients.

To address these deficiencies, the study recommends expanding the Department's EMS system by adding a third dedicated firefighter/paramedic ambulance operating 24 hours per day, seven days per week. The study also recommends expanding the Department's existing Basic Life Support (BLS) peak-hour ambulance program to operate **s**even days per week from 10:00 a.m. to 8:00 p.m. This unit would continue to respond to lower-acuity medical incidents and interfacility transports, preserving advanced life support resources for life-threatening emergencies while improving overall system efficiency.

Incremental funding would help support additional front-line emergency response personnel and apparatus needed to begin to meet current and future service demands. These investments would strengthen both emergency medical services and fire suppression capabilities by reducing the need to remove engine companies from service for ambulance transports, improving ambulance response times, and ensuring that adequate firefighting resources remain available throughout the community.

Infrastructure:

Annual Street and Roads Maintenance. The City’s most recent Pavement Condition Index (PCI) placed the City’s roads at 61 or “fair” condition. In order to maintain this “fair” condition, the City would need to augment existing annual funding by $2.5 - $3.0M. Without this funding, the conditions of the City’s roads and its PCI index will continue to decline into the “at risk” category. Of note, the City’s PCI has declined

steadily since 2022, underscoring how existing funding levels are not keeping up with roadway maintenance needs.

Sidewalk Repairs. The City's annual Sidewalk Repair Program includes concrete shaving and repair of sidewalks to help ensure pedestrian safety and compliance with Americans with Disabilities (ADA) requirements. Historically, the City has budgeted, on average, $300,000 per fiscal year on the Sidewalk Repair Program, which has funded the shaving or repair of approximately 1.5-2 miles of sidewalk annually. Staff estimates that there are between 250 and 300 miles of sidewalk within the City and the Program would need to augment existing annual funding by $1.5 million to increase the annual shaving and repair rate to approximately 12 miles of sidewalk annually, which would allow staff to perform shaving on the entirety of City sidewalks in about 20 years.

Community and Neighborhood Parks. The majority of the City's funding for existing park infrastructure comes from Measure A, a countywide sales tax renewed by voters in 2022. While Measure A provides approximately $560,000 per year for City park improvements, recent evaluations of existing park infrastructure needs show that San Rafael's park system requires approximately $1.5 million annually to be adequately maintained. This has resulted in an ongoing capital funding shortfall of approximately $1.0 million.

The City's 2023 Parks and Recreation Master Plan identified sports courts, pathways, playgrounds, irrigation, and other recreation amenities that are failing or at the end of life at many city parks. Without additional resources, the City will be unable to adequately address the existing failures, and the continued deterioration of park amenities will continue to exacerbate the issue.

The recommendation to advance a revenue enhancement measure for consideration at the November 2026 general election is intended to address areas of need an supports the City's fiscal sustainability framework as expressly identified in the City Council's Three-Year Strategic Plan under Goal F.3, which directs the City to implement comprehensive strategies ensuring fiscal sustainability through maintaining balanced budgets, renewal of existing voter-approved tax measures and exploring new revenue opportunities.

ANALYSIS:

Between June 18, 2026, and June 29, 2026, the City's polling consultant conducted a survey of likely voters to inform a potential November ballot measure. This included voter sentiment related to an increase in the City's existing Property Transfer Tax as well as a new Public Safety Parcel Tax.

High-level summary of survey results:

- At a high-level, 81% of likely November 2026 voters in San Rafael agree that the City is a "great place to live."
- 71% of those surveyed feel "safe and well-protected from crime."
- These levels of general contentment are reflected in modest levels of those who feel the city needs additional funding (though many are admittedly unsure).
- Against this backdrop, we asked survey respondents about two potential revenue measures—a parcel tax generating funds specifically for public safety services and a real property transfer tax (RPTT) measure generating funds for the City's general fund.
    - The public safety parcel tax would have a two-thirds (66.67%) vote threshold.
    - The RPTT measure would have a majority vote threshold (50%+1)
- Both measures received initial support in the survey around 50%, specifically 51% for the public safety parcel tax and 50% for the general-purpose RPTT.

- After presenting pros and cons for each measure, the public safety parcel tax reached a high-water mark of 60%, still well short of its vote threshold of 2/3 of the majority of voters. The general-purpose RPTT measure reached 56%. Criticisms dropped support for both.
- These results drew staff to focus more on the majority vote threshold RPTT measure. Though while still clearly challenging, the survey did find that a majority were open to supporting such a measure, meaning it showed the greatest viability between the two. Some of the top spending/investment priorities with a high degree of support for a general-purpose measure were:
    - maintaining 911 emergency response times,
    - addressing the impacts of homelessness,
    - street/road maintenance,
    - maintaining safe places for children to play,
    - preventing stormwater drainage system flooding,
    - improving traffic flow, and
    - overall maintaining the City's financial stability.

Based on an evaluation of potential revenue measures, informed by the results of the recent polling, staff is recommending that the City Council consider placing a measure on the November 2026 ballot that would authorize an increase to the City's existing real property transfer tax rate from the current 0.2% ($2.00 per $1,000 assessed value) to 1.0% ($10.00 per $1,000 assessed value). This increase is estimated to generate approximately $6.0 million in new annual General Fund revenue (from the current $1.5 million to an estimated total of $7.5 million per year), until ended by voters. The real estate property transfer tax is only paid upon the sale of a property and would support a broad range of essential city services, including 911 emergency response, road maintenance, and safe and clean parks and public areas. The measure, as proposed, would also include a provision related to annual audits and public spending disclosure, consistent with the City’s other existing voter-approved tax measures.

This staff recommendation is further supported by a comparison of other charter cities within the region (and state) that currently impose a real estate transfer tax. Of these cities, San Rafael’s property transfer tax rate (0.2%) is amongst the lowest, while the proposed increase to 1.0% would place San Rafael’s tax rate in the mid-range, and well below those cities with tax rates in the range of 1.5% to 3.0%, or higher. Moreover, in comparison to other cities with real estate property transfer taxes, San Rafael’s real estate property tax revenues are consistently below the average in terms of revenue as a percentage of overall general fund revenues and real estate transfer tax revenues per capita.

By seeking an increase in the real estate property transfer tax rate from 0.2% to 1.0%, the resulting increase in General Fund revenues would significantly aid in addressing priority unfunded needs, help make-up for the comparatively low allocation percentage of local property taxes retained by the City (currently 12.2%), and further the City’s goal of fiscal sustainability by contributing to a broader diversification of the City’s general fund revenue sources, predominantly reliant on property tax and sales tax revenues.

By adopting the attached Resolution, the Council would call for a general election to submit the real estate property transfer tax measure to the voters at the November 3, 2026, election, request consolidation of the City’s election with other elections occurring on that date, request election services from the County, direct the City Attorney to prepare an impartial analysis of the measure for the voter materials and authorize Mayor Kate and Councilmember Bushey to prepare and file an argument and rebuttal in favor of the measure. .

The resolution also establishes the following ballot language to be submitted to the voters:

San Rafael Essential Services Protection Measure. To provide locally controlled funding for essential city services, such as fire protection, paramedics, rapid 9-1-1 emergency response times; preventing street/road deterioration; addressing impacts of homelessness/litter/illegal dumping; and other services, shall the City of San Rafael's measure be adopted increasing the current real property transfer tax rate from 0.2% to 1% (only paid upon sale), generating approximately $7,500,000 annually until ended by voters, with annual audits and public spending disclosure?	Yes
	No

ENVIRONMENTAL REVIEW:
The proposed ordinance is exempt from the California Environmental Quality Act (Public Resources Code §§ 21000 et seq., "CEQA," and 14 Cal. Code Reg. §§ 15000 et seq., "CEQA Guidelines"). This tax submitted to the voters is a general tax that can be used for any legitimate governmental purpose. It is not a commitment to any particular action, nor does it authorize any private activity, but merely taxes such activity as otherwise occurs. As such, under CEQA Guidelines section 15378(b)(4), the tax is not a project within the meaning of CEQA because it creates a government funding mechanism that does not involve any commitment to any specific project that may result in a potentially significant physical impact on the environment. If revenue from the tax is used for a purpose that would have either such effect, the City will undertake the required CEQA review for that project. Therefore, CEQA analysis is not required at this time.

FISCAL IMPACT:
The cost to the City of placing this measure on the November 3, 2026, ballot is estimated to bring the total cost of the election in the range of $125,000 to $157,500. Funding to cover the anticipated cost of the election is provided in the approved FY 2026-27 budget, via General Fund appropriations within the City Clerk's Elections Program (General Fund – contract services) budget.

OPTIONS:
The City Council has the following options to consider in this matter:

1. Adopt the proposed resolution calling for a general election on November 3, 2026, to submit the real estate property transfer tax measure to the voters.
2. Do not approve the Resolution.

RECOMMENDED ACTION:

Staff recommend that the City Council adopt a Resolution calling for a General Municipal Election on November 3, 2026, for the purpose of submitting to the qualified electors of the City a measure to modify Chapter 3.22 of the San Rafael Municipal Code to increase the real property transfer tax rate and add an oversight provision; Authorizing and requesting that the County of Marin consolidate and conduct the election; Directing the City Attorney to prepare an impartial analysis and authorizing Mayor Kate and Councilmember Bushey to file a ballot argument and rebuttal for the measure.

ATTACHMENTS:

1. Resolution
2. Attachment A to the Resolution: Ordinance

RESOLUTION NO.

A RESOLUTION OF THE CITY COUNCIL OF THE CITY OF SAN RAFAEL CALLING FOR A GENERAL MUNICIPAL ELECTION ON NOVEMBER 3, 2026, FOR THE PURPOSE OF SUBMITTING TO THE QUALIFIED ELECTORS OF THE CITY A MEASURE TO MODIFY CHAPTER 3.22 OF THE SAN RAFAEL MUNICIPAL CODE TO INCREASE THE REAL PROPERTY TRANSFER TAX RATE AND ADD AN OVERSIGHT PROVISION; AUTHORIZING AND REQUESTING THAT THE COUNTY OF MARIN CONSOLIDATE AND CONDUCT THE ELECTION; DIRECTING THE CITY ATTORNEY TO PREPARE AN IMPARTIAL ANALYSIS AND AUTHORIZING MAYOR KATE AND COUNCILMEMBER BUSHEY TO FILE A BALLOT ARGUMENT AND REBUTTAL FOR THE MEASURE

WHEREAS, the Charter of the City of San Rafael, Article IV, Section 1, authorizes the City Council to call a municipal election; and

WHEREAS, the City of San Rafael ("City"), like many jurisdictions throughout California, faces a challenging fiscal environment over the next five years, with the newly adopted Fiscal Year ("FY") 2026-27 General Fund budget requiring several balancing measures to address a baseline deficit of $1.0 million, and baseline General Fund forecasts projecting continued deficits through FY 2029-30, growing to an estimated shortfall of $2.0 to $3.0 million; and

WHEREAS, addressing the City's fiscal sustainability is expressly identified in the City Council's Three-Year Strategic Plan under Goal F.3, which directs the City to implement comprehensive strategies ensuring fiscal sustainability through balanced budgets, explore new revenue streams, and renew existing tax measures; and

WHEREAS, the City Council has already called for a general municipal election to be held on November 3, 2026, for candidate elections, and is now calling to submit to the voters at the general municipal election on November 3, 2026, a ballot measure proposing the adoption of an ordinance modifying Chapter 3.22 of the San Rafael Municipal Code to increase the rate of the real property transfer tax and add an oversight provision ("Measure"); and

WHEREAS, Elections Code section 9280 authorizes the City Council to direct the City Attorney to prepare an impartial analysis of any City measure, and Elections Code section 9285 authorizes the City Council to designate members of the City Council to file a written argument, and a rebuttal argument, for or against any City measure; and

WHEREAS, under the proposed Measure, the City's real estate transfer tax, which is due upon the transfer of real property, would be increased from two dollars per thousand dollars of assessed value to ten dollars per thousand dollars of assessed value and provide that the City's Voter Approved Tax Oversight Committee, established by Resolution No. 15118 to have oversight over the expenditures generated by the real estate transfer tax; and

WHEREAS, the proposed ballot measure would generate approximately $6.0 million in increased annual general fund revenue, until ended by the voters, for an approximate total of $7,500,000 annual revenue to fund essential City services including 911 emergency response, road maintenance, and safe and clean parks and public areas; and

WHEREAS, the City Council of the City of San Rafael may request the Board of Supervisors of the County of Marin to consolidate the municipal election with any other election conducted on the same date; and

WHEREAS, the City Council of the City of San Rafael may request election services from the Registrar of Voters of Marin County, California.

NOW, THEREFORE BE IT RESOLVED, that the City Council of the City of San Rafael finds the foregoing recitals are true and correct, and they are hereby incorporated by reference into this Resolution.

BE IT FURTHER RESOLVED:

Section 1. Call for Election. That pursuant to the requirements of the California Elections Code, Sections 306 and 9222, there is called and ordered to be held in the City of San Rafael, a municipal election for the purpose of submitting to the voters of the City of San Rafael a ballot initiative entitled "San Rafael Essential Services Protection Measure." As required by Elections Code section 13247, the abbreviated form of the Measure that is to appear on the ballot is specified below in Section 2 of this Resolution.

The City's designated Elections Official is hereby authorized and directed to make any changes to the proposition, text of the ballot label below, or this resolution as required to conform to any requirements of law.

Section 2. Ballot Language. The following question shall be submitted to the voters on the ballot:

San Rafael Essential Services Protection Measure. To provide locally controlled funding for essential city services, such as fire protection, paramedics, rapid 9-1-1 emergency response times; preventing street/road deterioration; addressing impacts of homelessness/litter/illegal dumping; and other services, shall the City of San Rafael's measure be adopted increasing the current real property transfer tax rate from 0.2% to 1% (only paid upon sale), generating approximately $7,500,000 annually until ended by voters, with annual audits and public spending disclosure?	Yes
	No

This question requires the approval of a majority of City of San Rafael voters voting on the Measure at the election to become effective. If the Measure is so approved by the City of San Rafael voters, then the Ordinance attached hereto as Exhibit A shall become effective ten (10) days following the date the vote is declared by the City Council in accordance with Elections Code section 9217.

Section 3. Text of Measure. The complete text of the Measure to be submitted to the voters for approval is attached to this resolution as Exhibit A. The text of the Measure shall be printed in the ballot materials and be available for public inspection in the City Clerk's office and on the City's website at www.cityofsanrafael.org.

Section 4. Publication of Measure. The City Clerk is hereby directed to cause notice of the Measure to be published once in the official newspaper of the City of San Rafael, in accordance with the California Elections Code section 12111 and California Government Code section 6063, and is further directed to give further or additional notice of the election, in time, form, and manner as required by law.

Section 5. Request to Consolidate and Conduct Election and Canvass Returns.

(a) Pursuant to the Elections Code commencing with Section 10400, the City Council hereby requests, consents, and agrees that the County of Marin shall take all actions which are necessary or appropriate in connection with the election, including, but not limited to, printing and mailing sample ballots, arguments and applications for absentee ballots, canvassing election returns and certifying the results of the election to the Council. Pursuant to Elections Code Section 10002, the Board of Supervisors of Marin County is requested to permit the Registrar of Voters to render all services specified by Elections Code Section 10418 relating to the election. The City hereby agrees to reimburse Marin County in full for any services performed by the County for the City upon presentation of an invoice to the City.

(b) The election on the Measure shall be held and conducted, the voters canvassed and the returns made, and the results ascertained and determined as provided herein. The election shall be held in accordance with the Elections Code of the State of California. As required by Elections Code section 10403, the City of San Rafael acknowledges that the consolidated election will be held and conducted in the manner prescribed in Section 10418 of the Elections Code.

(c) The election on the Measure shall be held in the City of San Rafael in the County of Marin on November 3, 2026, as required by law, and the County of Marin is authorized to canvass the returns of the election with respect to the votes cast in the City of San Rafael and certify the results to the City Council of the City of San Rafael.

(d) At the next regular meeting of the City Council of the City of San Rafael occurring after the returns of the election for the Measure have been canvassed and the results have been certified to the City Council, or at a special meeting called for such purpose if required by law, the City Council shall cause to be entered in its minutes a statement of the results of the election.

Section 6. Submission of Ballot Arguments. The City Council hereby adopts provisions for the filing of ballot arguments and rebuttal arguments for the measure as set forth in California Elections Code sections 9282 *et seq.* All arguments for and against the Measure shall be filed with the City Clerk pursuant to the timelines set forth in the County of Marin's Election Calendar for the November 3, 2026, Statewide Direct Primary Election as published on their website: https://www.marincounty.gov/departments/elections/election-information/election-schedule?language=en"). All arguments for and against the measure shall be signed, with printed name(s) and signature(s) of the author(s) submitting it, or if submitted on behalf of an organization, the name of the organization, and the printed name and signature of at least one of its principal officers who is the author of the argument. Mayor Kate and Councilmember Bushey are authorized to prepare and file an argument in favor of the Measure and a rebuttal for the Measure.

Section 7. Impartial Analysis. In accordance with California Elections Code section 9280, the City Council directs the City Clerk to transmit a copy of the Measure to the City Attorney, who shall prepare an impartial analysis showing the effect of the measure on the existing law and the operation of the measure. The City Attorney's impartial analysis may not exceed 500 words.

Section 8. Services of the City Clerk. The City Clerk is hereby authorized and directed to take all steps necessary to place the Measure on the ballot, including giving further or additional notice of the election as required by law, and to cause the ordinance or measure to be printed. A copy of the ordinance or measure shall be made available to any voter upon request. As required by Elections Code section 12111, the City Clerk shall cause a synopsis of the measure to be published in a newspaper of general circulation at least one time not later than one week before the November 3, 2026, election. The notice shall be headed "Measure to Be Voted On"

and be in the form described in Elections Code section 12111.

Section 9. **Canvass Returns of the Election.** The Marin County Elections Department is hereby authorized to canvass the returns of the election, including this ballot measure.

Section 10. **Filing of a Copy of Resolution.** The City Clerk is hereby directed to file a certified copy of this Resolution with the Board of Supervisors and the Election Department of the County of Marin.

Section 11. Election Held Pursuant to Law. In all particulars not recited in this resolution, the election shall be held and conducted as provided by law for holding municipal elections.

Section 12. Effective Date. This Resolution shall take effect upon its adoption.

I, LINDSAY LARA, Clerk of the City of San Rafael, hereby certify that the foregoing Resolution was duly and regularly introduced and adopted at a regular meeting of the City Council of the City of San Rafael, held on Monday, the 20th day of July 2026, by the following vote, to wit:

AYES: Councilmembers:
NOES: Councilmembers:
ABSENT: Councilmembers:

_____
Lindsay Lara, City Clerk

ORDINANCE NO.

AN ORDINANCE OF THE CITY COUNCIL OF THE CITY OF SAN RAFAEL AMENDING CHAPTER 3.22 OF THE SAN RAFAEL MUNICIPAL CODE TO INCREASE THE RATE OF THE REAL PROPERTY TAX AND ADD AN OVERSIGHT PROVISION

SECTION 1. TITLE

This Ordinance shall be known and may be cited as the "San Rafael Real Property Transfer Tax Ordinance."

SECTION 2. FINDINGS

The City Council of the City of San Rafael hereby makes the following findings in connection with the adoption of this Ordinance:

WHEREAS, The City of San Rafael provides essential municipal services to residents, businesses, and visitors, including fire suppression and emergency response, law enforcement, street maintenance and repair, stormwater infrastructure, parks and open space, library services, and community programs.

WHEREAS, The City faces structural deficits in its General Fund projected to reach approximately $2.0 million to $3.0 million by fiscal year (FY) 2028-29, due to lacking sufficient and reliable funding to support investments in maintenance and replacement of capital infrastructure, increased service-level demands, particularly in the area of public safety, continue to place additional pressures on existing resources cost pressures driven by post-pandemic inflation, increased fuel, energy and utility costs, buoyed by ongoing uncertainty in the general economy.

WHEREAS, By seeking an increase in the real estate property transfer tax rate from 0.2% to 1.0%, the resulting increase in General Fund revenues would significantly aid in addressing priority unfunded needs, help make-up for the comparatively low allocation percentage of local property taxes retained by the City (currently 12.2%), and further the City's goal of fiscal sustainability by contributing to a broader diversification of the City's general fund revenue sources, predominantly reliant on property tax and sales tax revenues.

WHEREAS, A real property transfer tax is a one-time levy on the transfer of ownership of residential and commercial real estate pursuant to a purchase or sale. Payment of the

one-time Real Estate Property Transfer Tax is the joint responsibility of the parties to a real estate transaction—the buyer(s) and seller(s).

WHEREAS, after careful evaluation of the City's financials, evaluation of viable potential revenue enhancement measures, and community surveys assessing the public's views and priorities, the City Councils finds that increasing the rate of the existing Real Property Transfer Tax from .2% to 1% and submitting a measure to the voters, with a recommendation for approval, is the most prudent, reasonable, and fiscally responsible action in order for the City to maintain current service levels and quality.

WHEREAS, this Ordinance shall become effective ten days after the vote is declared by the City Council pursuant to Elections Code Section 9217;

WHEREAS, if adopted, the City's Voter-Approved Tax Oversight Committee, established by City Council Resolution No. 15118, will provide the resident oversight to review the collection and expenditure of tax revenues generated under the authority of this Chapter.

NOW, THEREFORE, THE PEOPLE OF THE CITY OF SAN RAFAEL DO ORDAIN AS FOLLOWS:

SECTION 3. AMENDMENT OF MUNICIPAL CODE

Section 3.22.020 of Chapter 3.22 of the San Rafael Municipal Code is amended to read, with additions shown in underline and deletions shown in strikethrough, as follows:

3.22.020 Imposition of tax.

A tax is imposed on each transfer, by deed, instrument or writing, by which any lands, tenements or other real property located in the city are sold, granted, assigned, transferred or otherwise conveyed to, or vested in, a purchaser or purchasers thereof, or any other person or persons at or by the direction of said purchaser or purchasers, when the value of the consideration exceeds one hundred dollars, said tax to be at the rate of ~~two~~ ten dollars for each one thousand dollars or fractional part of one thousand dollars of the value of the consideration.

Section 3.22.235 is added to Chapter 3.22 of the San Rafael Municipal Code, with the additions shown in underline as follows:

3.22.235 Oversight Committee

The City's Voter Approved Tax Oversight Committee, as established by City Resolution No. 15118, and as may be amended, shall submit a report on at least an annual basis to the City Council evaluating whether the proceeds from this tax are being properly

expended for the purposes set forth in this Chapter. Proceeds from this tax shall be subject to the City's generally applicable independent annual audit procedures and requirements.

SECTION 5. SEVERABILITY

If any provision of this Ordinance, or application thereof to any person or circumstance, is held invalid, such invalidity shall not affect other provisions or applications of this Ordinance which can be given effect without the invalid provision or application, and to this end the provisions of this chapter are declared to be severable.

SECTION 6. CALIFORNIA ENVIRONMENTAL QUALITY ACT (CEQA).

The approval of this ordinance is exempt from the California Environmental Quality Act (Public Resources Code §§ 21000 et seq., "CEQA," and 14 Cal. Code Reg. §§ 15000 et seq., "CEQA Guidelines"). This tax submitted to the voters is a general tax that can be used for any legitimate governmental purpose. It is not a commitment to any particular action nor does it authorize any private activity, but merely taxes such activity as otherwise occurs. As such, under CEQA Guidelines section 15378(b)(4), the tax is not a project within the meaning of CEQA because it creates a government funding mechanism that does not involve any commitment to any specific project that may result in a potentially significant physical impact on the environment. If revenue from the tax is used for a purpose that would have either such effect, the City will undertake the required CEQA review for that project. Therefore, CEQA analysis is not required at this time.

SECTION 7. EFFECTIVE AND OPERATIVE DATES

This ordinance shall be effective ten days after the date on which the City Council has declared that the voters of the City of San Rafael have approved the ordinance by a vote of no less than a majority of the votes cast by the electors voting on the tax measure set forth in this ordinance at the General Municipal Election to be held on Tuesday, November 3, 2026.

SECTION 8. CERTIFICATION AND PUBLICATION

Upon approval by the voters, the City Clerk shall certify to the passage and adoption of this ordinance and shall cause it to be published, in full or in summary form, according to law.